picture of the year's operations. Figures showing the parent company's results only are incomplete and may be quite misleading. As previously remarked, they may either understate the earnings by not showing all the current profits made by the subsidiaries, or they may overstate the earnings by failure to deduct subsidiaries' losses or by including dividends from subsidiaries in excess of their actual income for the year.

Former and Current Practices. In earlier years disclosure of subsidiaries' results was a matter of arbitrary election by management, and in many cases important data of this kind were kept secret.[7] For some time prior to 1933 the New York Stock Exchange had insisted in connection with *new* listings that the results of subsidiaries be presented either in a consolidated statement or separately. But since passage of the 1934 act, all registered companies are required to supply this information in their annual reports to the Commission, and therefore practically all follow the same procedure in their statements to stockholders.

Degree of Consolidation. Even in so-called "consolidated statements" the degree of consolidation varies considerably. Woolworth consolidates its domestic and Canadian subsidiaries but not its foreign affiliates. American Tobacco consolidates only its wholly owned domestic subsidiaries. Most utilities now issue consolidated reports including all companies controlled by them (by ownership of a majority of the voting stock) and deduct the portion of the earnings applicable to others under the heading of "minority interest."[8] In the railroad field results are rarely consolidated unless the subsidiary is both 100% owned and also operated as an integral part of the system. Hence, Atlantic Coast Line does not reflect its share of the results after dividends of Louisville and Nashville, which is 51% owned but separately operated. The same is true with respect to the 53% voting control of Wheeling and Lake Erie held by the Nickel Plate (New York, Chicago, and St. Louis Railroad Company).

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[7] For a discussion of the misleading effect of such policies in former years, see references to Reading Company, Consolidated Gas Company (now Consolidated Edison Company), and Warren Brothers Company, on pp. 380–381 of the first edition of this work. Prior to the S.E.C. legislation, most railroad companies failed to supply any information regarding the earnings of their nontransportation subsidiaries, some of which were of substantial importance. *Examples:* Northern Pacific, Atchison.

[8] North American Company has been somewhat exceptional in that it consolidates only subsidiaries at least 75% owned and thus excludes two important companies in which its interest in 1939 was 73.5 and 51%, respectively.